

been slow thus far, perhaps expectedly, but slow nonetheless. In 2021-22, the government spent just ₹10 crore in incentive payouts (for mobile handsets, white goods—ACs and LEDs—and food processing industries put together), reflecting marginal increase in production. In 2022-23, as per DPIIT, this number rose to ₹2,874 crore. That's a big improvement, sure, but a scale-down from the ₹8,504 crore initially allocated across seven sectors in the Union Budget for FY23, and even from the revised estimate of ₹4,821 crore. Effectively, the first two years of the seven-year exercise saw a mere 1.46 per cent of the total ₹1.97 lakh crore incentive outlay being paid out. "The scheme was introduced in 2020-21 and, ideally, it should have peaked

by now and achieved its purpose by 2025-26. However, large-ticket industries are either yet to adopt the scheme or begin major activities under it. We now estimate that the peak incentive payout would take place only in 2026-27 and PLI would continue at least till 2028-29," says Hetal Gandhi, Director-Research at CRISIL MI&A.

Third, as Gandhi points out, five large industries are yet to take off. Automotive, ACC (advanced chemical cell) batteries, specialty steel, solar PV and textiles are expected to invest ₹2.21 lakh crore or 80 per cent of the overall estimated PLI capex. Of this, an estimated ₹1,23,457 crore has been committed so far. One reason could be that low-capex industries are getting higher incentives in percentage

terms. Mobiles & electronics, telecom and food processing companies are slated to get 20 per cent, 6.5 per cent and 6 per cent of the total incentive outlay, even though their contribution to the PLI capex are estimated to be only 4.5 per cent, 1.5 per cent and 2.2 per cent, respectively. In comparison, the five large industries would receive incentives in the range of 4-14 per cent. So it is that of the ₹8,883-crore budgetary allocation for PLI incentives in FY24, 52 per cent has been marked for mobile and electronics manufacturing, 17 per cent for food processing, 13.5 per cent for pharmaceuticals and medical devices, and 9 per cent for telecom equipment, with the remaining sectors receiving marginal amounts. Or nothing. According to experts, lower or no

A WORK IN PROGRESS

BUDGET ALLOCATION UNDER THE PLI SCHEME REFLECTS SLOW PROGRESS IN MANY SECTORS

Nodal body	Segments covered	FY22 Actual	FY23 BE	FY23 RE	FY24 BE
→ Ministry of Electronics & Information Technology (Meity)	Mobile handsets, IT hardware, electronics	0	5,300	2,203	4,645
→ Dept of Commerce & Industry	White goods & LED	1	4	4	65
→ Dept of Communication	Telecom & Networking manufacturing	0	528	90	800
→ Dept of Heavy Industry	Auto, auto components & advanced chemical cell batteries	0	6	12	605
→ Dept of Civil Aviation	Drones & drone components	0	0	40	33
→ Ministry of Chemical & Fertilisers	Bulk drug, APIs, medical devices, pharma	0	1,629	1,663	1,200
→ Dept of Textile	Textile	0	15	8	5
→ Dept of Food Processing Industry	Food processing	9	1,022	801	1,530
Total		10	8,504	4,821	8,883

Figures in ₹ crore; **BE:** Budget Estimate; **RE:** Revised Estimate; **Source** Budget documents FY24